

We have traditionally favoured trade liberalisation through multilateral trade negotiations (MTNs) under the aegis of the World Trade Organization, but the US and all other developed countries have given up on MTNs and shifted to plurilateral agreements. These do not depend on getting large numbers of countries to agree and they also allow progress on non-tariff issues, such as intellectual property rights and investor protection, which have traditionally been resisted in MTNs. The only way of assuring access to large markets in this situation is through FTAs. The EU/UK FTAs are particularly important in this context.

Success in FTA negotiations requires a very different approach from that adopted in the MTNs because we cannot rely on support from the Global South. Our negotiators will have to have more flexible mandates to enable a "give and take" approach; the public must also be educated on this. The EU/UK also face a threat of fragmentation and have an incentive to conclude an agreement with India.

## INDIA'S OPTIONS

- **↘ Lower tariffs:** It will reduce domestic production costs and improve competitiveness
- **↘ Allow exchange rate depreciation:** This will offset domestic producers' disadvantage vis-à-vis US imports
- **↘ Sign FTAs with UK, EU and other big economies:** It will ensure access to large markets
- **↘ Join regional trading blocs:** If fears of giving China duty-free access is a deterrent for India to join the RCEP, it could apply to the CPTPP, which has 12 countries but not China

While the EU/UK are important, the fastest-growing markets over the next 20 years will be in Asia, and we need to do more in this area. We dropped out of signing the Regional Comprehensive Economic Partnership (RCEP) because our industry was nervous about granting duty-free access to China. If that was indeed the real reason, we should apply to join the alternative Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP). It includes Japan and 11 other countries but excludes China. Admission will take time, but an immediate application will send a good signal, especially if we want to develop value chain linkages with the Asian region.

The approach outlined above may be questioned by those who believe that the government should worry less about integrating with other markets and much more on evolving an active industrial policy combined with protection of domestic industry. There should be no doubt that the government has a major role to play in strengthening our competitiveness. It must develop high-quality infrastructure; improve access to land, which is a major hurdle for small and medium enterprises; improve the quality of human capital; and greatly improve the ease of doing business both at the central and state level. It is action in these areas that we need rather than more protection. We have seen the protectionist movie earlier and we know it did not end well. ■

*Illustration by* **NILANJAN DAS**